of the government in total rent collected was fixed at 10/11th, the balance going to the Zamindars as remuneration.

8.3.2 Mahalwari System or Communal System of Farming

After introduction of this system, it was later extended to Madhya Pradesh and Punjab. The ownership of the land was maintained by the collective body usually the villagers which served as a unit of management. They distributed land among the peasants and collected revenue from them and paid it to the state.

8.3.3 Ryotwari System or the Owner-Cultivator System

This system was initially introduced in Tamil Nadu and later extended to Maharashtra,Gujarat, Assam, Coorg, East Punjab and Madhya Pradesh. Under this system the ownership rights of use and control of land were held by the tiller himself. There was a direct relationship between the owners and tillers. This system was the least oppressive system before Independence.

8.4 Process of Industrial Transition and Colonial Capitalism

This process of industrial transition in India during the British period can be broadly classified into two as given below:

(a) Industrial growth during the 19th century

During the 19th century, British investors started to pioneer industrial enterprises in India as they had experiences of running industries at home. British enterprises also received maximum state support. Although the Britishers initiated industrialisation process in the 19th century, they were primarily interested in making profit and not in accelerating the economic growth in India. At the end of 19th century, there were about 36 jute mills, 194 cotton mills and a good number of plantation industries. The production of coal had risen to over 6 million tonnes per annum.

(b) Industrial progress during the 20th century

During the first part of 20th century, Swadeshi movement stimulated the industrialisation process in India. The existing industries and new industries had maintained a slow but steady growth till the outbreak of the First World War in 1914.By this time more than 70 cotton mills and 30 jute mills were set up. Coal production was doubled. The foundation of iron and steel industry was laid. Railway network was extended.

During the period 1924-39, various major industries like iron and steel, cotton textiles, jute, matches, sugar, paper and pulp industry etc. were brought under protection scheme against foreign competition. This led to rapid expansion of protected industries in India. These protected industries captured the entire Indian market and eliminated foreign competition totally.

Thus in the early part, British rule tried to transform the Indian economy as

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